LIVESTOCK CUSTOMER ECONOMICS · JULY 2026

Our customers are at their most profitable point in 55 years.

184

US meat-to-feed parity today
(2016 average = 100)

13

months already spent
at this peak

0

of the five previous peaks
that held

MEAT PRICE ÷ FEED COST · US, EU, TÜRKİYE · BLS, EUROSTAT, TURKSTAT

WHAT YOU ARE LOOKING AT

One ratio: what a kilo of meat buys in feed.

THE MEASURE

PARITY =
meat price ÷ feed cost

Higher = meat outpacing feed → the producer earns more.
Lower = feed eating the margin.

THE SCALE

Each market is indexed to **its own 2016 average = 100**.

So 184 means US producers earn 84% more per kilo of feed than they did in 2016. The three lines are comparable in shape, not in level.

THE DATA

Monthly, from national statistics offices. Nothing modelled, nothing estimated — these are published price series.

US 1971→ 666 months

TÜRKİYE 2010→ 198 months

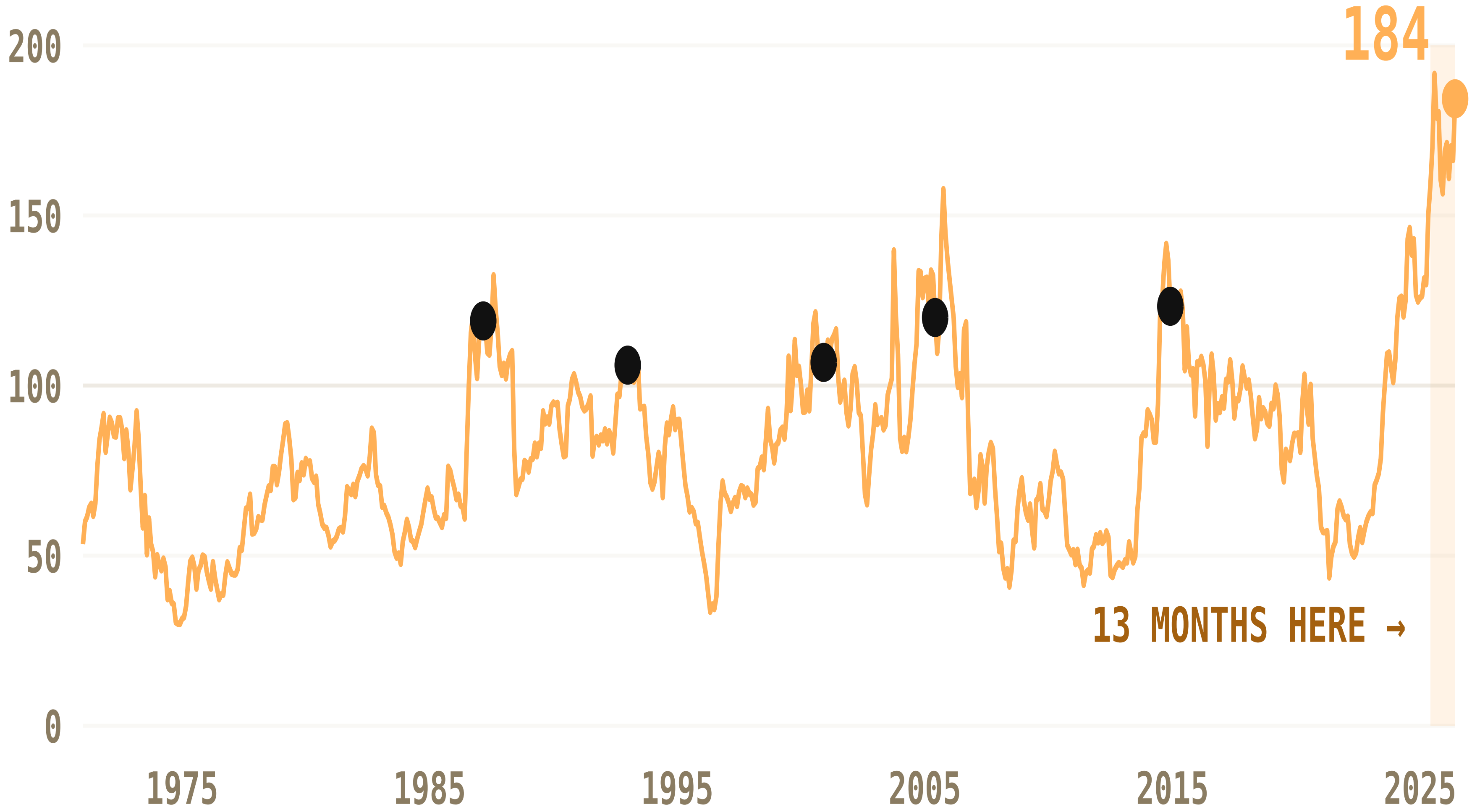
EU 2015→ 129 months

SOURCES · US: BLS PPI (WPU0131 ÷ WPU012202) · EU: EUROSTAT BEEF REF. PRICE ÷ COMPOUND FEED · TÜRKİYE: TURKSTAT PPI (T17 ÷ T25)

2 · WHERE WE ARE

A record — and it has stopped climbing.

Line = US producer margin ratio, one point per month. Higher is better for the producer.

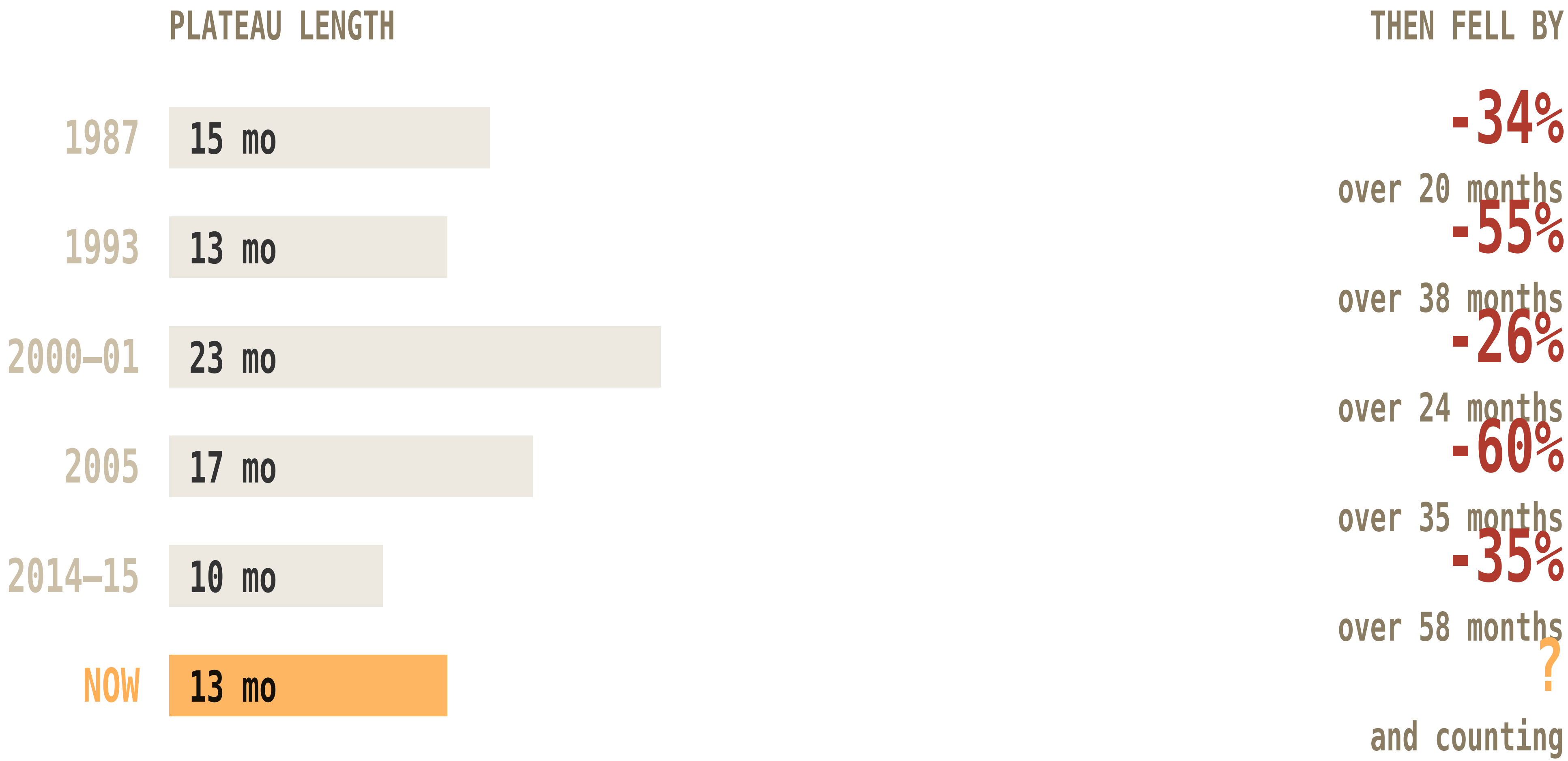


US MEAT-TO-FEED PARITY, MONTHLY, 1971–2026 · 2016 = 100 · DOTS = PREVIOUS CYCLE PEAKS

3 · WHAT HAPPENED LAST TIME. EVERY TIME.

Five peaks. Every one fell 25–60%.

Bar = how long each peak lasted before it broke. Right = how far the ratio then fell.

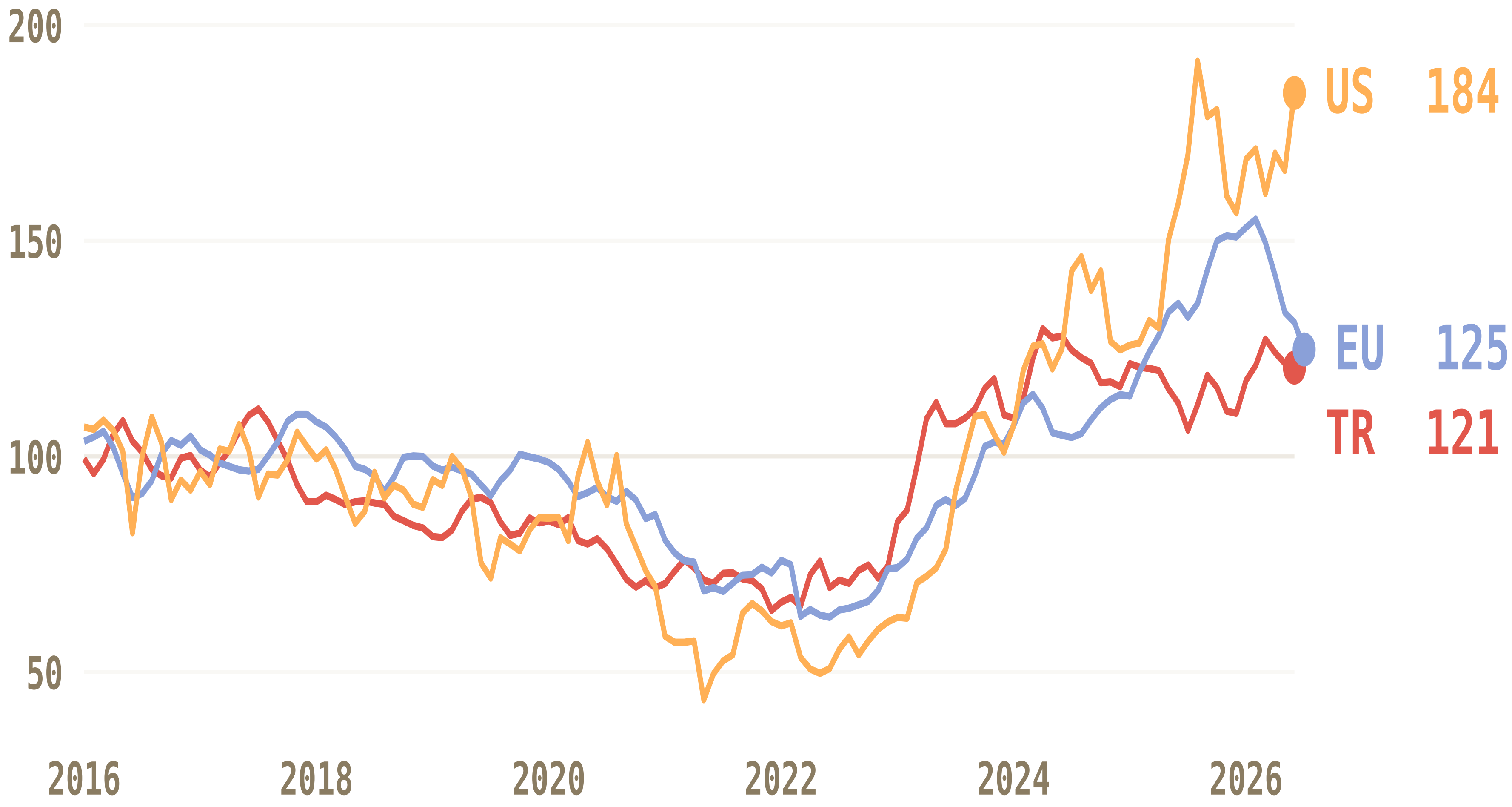


PLATEAU = MONTHS WITHIN 10% OF PEAK · FALL = PEAK TO NEXT BOTTOM

4 · WHO IS EXPOSED

Three markets. One cycle. At the same time.

Same ratio, three markets, each on its own 2016 = 100 base. Watch the shape, not the gap.



EACH MARKET INDEXED TO ITS OWN 2016 AVERAGE = 100 · US–EU CORRELATION 0.88 AT ZERO LAG

5 · SO WHAT

We don't know what they cut first.

1. ## The window is now

   Customers have cash today. The conversation is easier while they are profitable.

2. ## Phasing beats size

   A price move landing into a downturn behaves differently from one landing into a peak.

3. ## Next step: two to three weeks

   Map what producers actually cut, in what order, in the last two downturns — against our portfolio. The macro side is done.